

ORIGINAL

(FEDERAL MARITIME COMMISSION)
(SERVED AUGUST 6, 1998)
(EXCEPTIONS DUE 8-28-98)
(REPLIES TO EXCEPTIONS DUE 9-21-98)

FEDERAL MARITIME COMMISSION

DOCKET NO. 97-22

BERMUDA CONTAINER LINE LTD.

17.

**SHG INTERNATIONAL SALES INC., FX COUGHLIN CO.,
AND CLARK BUILDING SYSTEMS, INC.**

Complainant, an ocean carrier, alleges that respondent, a licensed freight forwarder, conveyed false information to the carrier regarding the identity of the shipper and by such misrepresentation helped cause the carrier to accept a shipment, extend credit, and surrender the cargo at destination without getting paid, the forwarder allegedly violating section 19 of the Shipping Act of 1984 and the Commission's freight-forwarder regulations. Complainant seeks full payment of the freight earned from the forwarder although complainant has obtained a default judgment against the shipper for the same amount under a separate legal theory. It is held:

- (1) The respondent forwarder did not breach its duties under the law and Commission regulations towards the ocean carrier and is not responsible for the carrier's failure to be paid by the shipper who remains liable for the loss suffered by complainant.
- (2) The respondent forwarder did not misrepresent the identity of the shipper, who had acted as an NVOCC, because under relevant law, the NVOCC is the shipper vis a vis the ocean carrier.
- (3) Although the respondent forwarder had sufficient information to infer that the dishonest shipper had been acting as an NVOCC, the forwarder had no reason to believe that the

dishonest NVOCC had no tariff or bond, was a bad credit risk and was likely to cheat the ocean carrier out of its freight money. The causes of the carrier's loss were the dishonest conduct of the shipper and the carrier's own negligence in voluntarily extending credit to the dishonest shipper with which it had never previously done business.

Wade S. Hooker and John G. Taylor for the complainant.
Douglas R. Kelly for respondent F X. Coughlin Co

**INITIAL DECISION' OF NORMAN D. KLINE,
ADMINISTRATIVE LAW JUDGE**

This case concerns the attempt of a vessel-operating carrier, complainant Bermuda Container Line Ltd. (BCL), to obtain payment in return for BCL's carrying a knocked-down building from Clark, Pennsylvania to Bermuda under its bill of lading dated January 24, 1997. BCL is seeking payment of \$4,193.75, consisting of the freight due and additional charges, plus interest and attorney's fees. BCL has obtained a default judgment from the Commission against one of the three named respondents, a company named SHG International Sales, Inc. (SHG Sales), for the amount claimed but, as is its right, is pursuing its separate claim against another respondent, a licensed freight forwarder named F.X. Coughlin Co. (Coughlin).²

¹This decision will become the decision of the Commission in the absence of review thereof by the Commission (Rule 227, Rules of Practice and Procedure, 46 C.F.R. 502.227).

²In the Initial Decision served March 24, 1998, and made administratively final by the Commission on May 6, 1998, respondent SHG Sales, which had been named on BCL's bill of lading as the shipper, was found to have violated section 10(a)(1) of the Shipping Act of 1984 by knowingly and willfully obtaining transportation services without having any intention of paying BCL for such service by means of an unjust or unfair device or means, among other things, by inducing BCL to extend credit and to surrender the cargo in Bermuda without getting paid. See this docket, Initial Decision, March 24, 1998, administratively final, May 6, 1998. BCL correctly points out that its claim against Coughlin, the freight forwarder, is a separate cause of action based on section 19 of the 1984 Act, not section 10(a)(1), and that BCL is entitled in the law to pursue its claim against Coughlin without prejudice notwithstanding the fact that it has obtained a favorable decision against SHG Sales. See Initial Decision cited above at 9; Restatement (Second) of Judgments, sec. 49 (1980) ("A judgment against one person liable for a loss does not terminate a claim that the injured party may have against another person who may be liable therefor"); see also 46 Am. Jur. 2d, Judgments, sec. 321 at 642. Of course BCL is not entitled to recover the same damages twice. Restatement (Second) of Judgments, sec. 50 (1980).

In the original complaint, BCL sued three parties, SHG Sales, named as shipper on the bill of lading, Clark Building Systems, Inc (Clark Building), the apparent manufacturer of the cargo whom BCL claims to be the “real shipper,” and Coughlin, the freight forwarder that was involved with the shipment. Service of the complaint on respondent SHG Sales was delayed because of a faulty address shown on the complaint but was eventually successful. However, SHG Sales ignored the proceeding and suffered a default judgment, as noted. Both respondents Clark and Coughlin retained counsel and filed answers to the complaint. After some discovery was conducted by BCL, however, BCL advised that it did not wish to pursue its claim against Clark Building, which was accordingly dismissed, leaving Coughlin as the only remaining respondent.³

The amount in dispute is relatively small and the parties are in distant geographic locations. Accordingly, the active parties except for SHG Sales, participated in the discovery process in order to obtain relevant evidence. Following discovery, BCL and the remaining respondent Coughlin agreed to submit legal memoranda with attached documentary evidence in the manner established under the Commission’s “shortened procedure” (46 C F R. 502.181 - 502.187). Therefore, the record so developed consists of BCL’s Memorandum of Facts and Arguments, with Attachments A through T, consisting of various shipping documents, correspondence, and an affidavit of BCL’s agent, Mr. Joseph Scheraldi, Jr., a declaration of attorney John Taylor; respondent Coughlin’s Answering Memorandum of Facts and Argument with attached Exhibits consisting of Coughlin’s verified answers to interrogatories and its verified answer to the complaint; and finally, BCL’s Memorandum in Reply.

“Clark Building had maintained that it gave money to respondent SHG Sales to handle the **subject** shipment and was not otherwise involved in the dispute between BCL and the other two named respondents. See Complaint **Dismissed** as to Respondent Clark Building Systems, Inc., May 14, 1998, administratively **final**, June 18, 1998. There is evidence in the record that Clark Building **did** indeed send money to SHG Sales for that purpose, which money SHG Sales never remitted to BCL. See **Exhibits** H, I.

FINDINGS OF FACT

The following findings of fact are based upon the proposed findings set forth in the parties' pleadings with certain modifications. Record references found in the parties' pleadings are generally omitted in this decision except as may be necessary for emphasis or when the parties' pleadings do not supply the reference or propose a particular finding.

1 BCL is an ocean common carrier operating between the United States and Bermuda. Bermuda Agencies Ltd. (BAL) is, and in all situations relevant to this proceeding was acting as, the U S General Agent of BCL.

2 Coughlin is a freight forwarder licensed by the Commission.

3 Respondent SHG Sales is a Michigan corporation which was founded by its President, Stephen H. Gorman (Gorman).

4 SHG Sales is not licensed as a freight forwarder by the Commission, nor does it have on file with the Commission a tariff or a non-vessel operating common carrier (NVOCC) bond.

5 On October 14, 1996, Gorman applied to Coughlin for a job in sales management. In his application, Gorman identified himself as President of SHG Sales. In his resume accompanying the application, Gorman identified SHG Sales as a company involved in working with companies to provide emergency shelter and negotiating logistics and transportation contracts.

6 In addition to the shipment which is at issue in this proceeding, Coughlin also dealt with SHG Sales in connection with a shipment on behalf of "John M. Pressly" during the period from November 8, 1996 to December 2, 1996. In that shipment, SHG Sales acted as a middleman and not the shipper.

7 On or about December 17, 1996, for SHG Sales, Gorman contacted BAL to book a shipment comprised of a knocked-down building in a 45-foot container to be transported from Clark, Pennsylvania to Hamilton, Bermuda. BAL was told that Coughlin would be acting as the freight forwarder BAL quoted a price of \$4,100.00, which included freight, the cost of a tarp and driver's assistance, if required.⁴

8 By a letter dated December 18, 1996, SHG Sales informed the underlying shipper, Clark Building, that SHG Sales could transport the shipment to Bermuda for \$4,550.00. On December 19, 1996, SHG Sales faxed a copy of its December 18 letter to Clark Building with a revised price of \$3,650.00. The letter advised Clark Building that, "Freight must be prepaid and must be accompanied by the commercial invoice"

9 On December 20, 1996, Clark Building prepared a commercial invoice and straight bill of lading for the shipment. The invoice and bill of lading both identified Clark building as the shipper and SHG Sales as the carrier Coughlin received a copy of this invoice The invoice and straight bill of lading each stated that the shipment was

RECEIVED, subject to the classifications and lawfully filed tariffs in effect on the date of the issue of this Bill of Lading, the property described above in apparent good order, except as noted (contents and conditions of contents of packages unknown), marked, consigned and destined as indicated above, which said carrier (the word carrier being understood throughout this contract as meaning any

⁴The record indicates that SHG Sales, not Coughlin, booked the shipment with BCL and that BCL was informed that Coughlin would be the freight forwarder Coughlin **claims** that it was not informed that it would be the forwarder on the shipment until after December 17, 1996, the date when SHG Sales, through Mr Gorman, booked with BCL (See Coughlin's Proposed Findings of Fact No 6) However, the record also **contains** evidence that Coughlin contacted Clark Budding, the cargo's manufacturer, by fax message dated December 13, 1996, asking for more information about the **subject** shipment, and referring to "my customer," who could only have been SHG Sales. (See Exhibit R1.) The record also shows that Coughlin was in touch **with** SHG Sales about the shipment by December 17, 1996 (Exhibit R2) Although it appears that SHG Sales booked the shipment directly with BCL, it also appears that Coughlin was informed by SHG Sales that Coughlin would be doing the forwarding services on a shipment that ultimately moved on a BCL bill of lading dated January 24, 1997

person or corporation in possession of the property under the contract) agrees to carry to its usual place of delivery at said destination if on its route, otherwise to deliver to another carrier on the route to said destination.

10 On December 20, 1996, Clark Building also made out a check to SHG Sales in the amount of \$3,650.00 in payment of the freight for the shipment.

11 SHG Sales received Clark's check on December 21, 1996 and deposited it on or about December 23, 1996. In a fax dated December 27, 1996, SHG Sales advised Clark of tentative pick up dates for the shipment in January 1997.

12 On January 16, 1997, Gorman was hired by Coughlin as a Senior Account Executive, effective January 27, 1997.

13 On January 17, 1997, during a telephone call between Zina Mecca of BAL and Marilyn Hoener of Coughlin, BAL confirmed a quotation for transportation of the shipment and Coughlin confirmed that the shipper of the shipment was SHG Sales.

14 By fax message to BCL dated January 17, 1997, Coughlin confirmed the booking of the shipment for loading on BCL's Voyage No. 868.

15 By another fax message dated January 17, 1997, Coughlin advised Clark Building that the shipment would be picked up at Clark's facility on January 22, 1997.

16 On or about January 22, 1997, BCL and SHG Sales signed a credit agreement, under which BCL agreed to extend to SHG Sales 30 days credit for payment of the freight on the shipment.

17 On January 24, 1997, Coughlin faxed BCL a master bill of lading for the shipment naming SHG Sales the shipper and Coughlin the forwarder. The master bill of lading was the only document similar to a bill of lading or dock receipt received by BCL from Coughlin.

18 On or about January 24, 1997, on behalf of BCL, BAL retyped the master bill on BCL's form and issued to SHG Sales the resulting Bill of Lading numbered NY 5004 covering its transportation of the shipment.

19 BCL transported the shipment to Hamilton, Bermuda on board BCL's vessel M/V OLEANDER, Voyage No 868, and on February 7, 1997 delivered the shipment to the consignee in accordance with the BCL bill of lading.

20 Coughlin was in direct communication with both SHG Sales and Clark Building by telephone and facsimile throughout the period that arrangements were being made for the shipment.

21. On or about January 29, 1997, BCL issued an invoice to SHG Sales for freight on the shipment in the amount of \$4,100.00, comprised of the intermodal rate of \$3,750.00 plus a tarp charge of \$200 00 plus a truck driver assistance charge of \$150 00

22 On or about February 4, 1997, BCL paid to Coughlin a freight forwarder commission in the amount of \$93 75, representing 2 5 percent of the base intermodal freight rate (\$3,750.00). In its endorsement on the BCL check used to pay the commission, Coughlin certified, among other things, that it had prepared and processed the ocean bill of lading, dock receipt or other similar document with respect to the shipment. Coughlin did not prepare and process any such document other than the master bill of lading and an export declaration.

23 After failing to receive payment from SHG Sales within the 30-day period under the credit agreement, BAL inquired of SHG Sales and was advised by SHG Sales for the first time, among other things, that Clark Building should be the real shipper of record.

24 Despite numerous requests to SHG Sales, SHG Sales has failed to pay any of the freight, and the entire amount of the invoice remains outstanding.

25 Gorman's employment with Coughlin was terminated effective June 10, 1997

26 The shipment was the only shipment ever carried by BCL on behalf of SHG Sales

27 At no time prior to releasing the shipment to the consignee was BCL aware that SHG Sales was acting as a carrier in connection with the shipment.

28 Whenever BCL becomes aware that a shipper is or may be acting as an NVOCC with respect to a shipment tendered to BCL, BCL seeks confirmation that the shipper/NVOCC had filed with the Commission a tariff and NVOCC bond. If either a tariff or a bond are not on file, BCL will not accept the shipment.

29 If BCL were to become aware that a shipper is an untariffed or unbonded NVOCC after BCL has accepted a shipment, BCL would not release the shipment until the documentation had been corrected to show the proper shipper and the freight on the shipment had been paid in full.

30 In the case of the shipment which is the subject of this proceeding, if Coughlin had advised BCL that Clark was the underlying shipper of the shipment and that SHG Sales had contracted to carry the shipment for Clark, BCL would have sought confirmation that SHG Sales had a tariff and bond on file. Finding none, BCL would not have accepted the shipment or, if it had already accepted the shipment before Coughlin's advice, it would have refused to release the shipment before receiving payment in full of the freight on the shipment.

31 Had BCL known that Coughlin identified SHG Sales as the shipper when the absence of a tariff or bond prohibits SHG Sales from carrying the shipment or tendering it to BCL, BCL would not have paid Coughlin a forwarder commission.

DISCUSSION AND CONCLUSIONS

What BCL is contending, essentially, is that Coughlin, a licensed freight forwarder, held to high standards of conduct under the Commission's regulations and the law, knowing better, conveyed false information to BCL, which caused BCL to carry cargo for SHG Sales, the purported shipper, and to extend credit and surrender the cargo at destination without getting paid. More specifically, BCL argues that had Coughlin advised BCL that the "real shipper" was Clark Building and not SHG Sales and that SHG Sales was actually acting as an NVOCC (non-vessel operating common carrier) without a tariff or bond, BCL could have protected itself either by not accepting the shipment from SHG Sales, which had been operating unlawfully, or by not surrendering the cargo in Bermuda without first getting paid. BCL argues that although Coughlin may not have originally booked the shipment with BCL (because SHG Sales did that), Coughlin was involved with the shipment and with Mr Stephen Gorman, President of SHG Sales, who was seeking employment with Coughlin before and around the time of the booking of the shipment and was even hired around that time. Nevertheless, according to BCL, Coughlin never bothered to warn BCL to be careful of SHG Sales and when BCL began having trouble collecting freight from SHG Sales, BCL was told for the first time that the "real shipper" was Clark Building. BCL cites five different provisions in the Commission's freight-forwarder regulations relating to the forwarder's duties to be honest and careful in preparing and processing shipping documents and in participating in dealings with questionable persons, claiming that Coughlin violated the duties set forth in those regulations. Finally, BCL argues that Coughlin is not entitled to retain the freight-forwarder commission (\$93.75) that BCL paid Coughlin because Coughlin did not perform the necessary functions required by section 19(d)(1) and the Commission's relevant regulations.

In its defense Coughlin argues essentially that BCL's problem in not being able to collect freight from SHG Sales is not Coughlin's fault but rather is caused by BCL's own blunder in extending credit to SHG Sales, a company with which BCL had never before done business. Coughlin argues that it was SHG Sales who first contacted BCL and booked the shipment, that Coughlin's participation was limited, and that Coughlin itself was not familiar with SHG Sales, the shipper named on the bill of lading, because the company, SHG Sales, was not the same thing as Mr. Stephen Gorman, its President, who had applied for employment with Coughlin. Coughlin maintains that it had no reason to believe that SHG Sales was operating as an illegal NVOCC without a tariff or bond and that BCL had as much knowledge of SHG Sales as did Coughlin. In short, Coughlin argues that BCL is attempting to impute responsibility onto Coughlin for BCL's own carelessness and to impose on Coughlin duties of investigation and warning that would be onerous and "would require freight forwarders to review thousands and thousands of past shipments and inquire as to each party's proposed role with the current shipment." (Coughlin's Answering Memorandum at para. 10) Coughlin also maintains that it did prepare a bill of lading and export declaration in return for the \$93.75 commission which it received from BCL as noted on the endorsement it placed on BCL's agent's check to Coughlin.

The record is somewhat limited because of the shortened procedure that was followed and is not as full as it would otherwise have been had there been witnesses to appear and testify. Nevertheless, it is more complete and enlightening as to the status of respondent SHG Sales than it was when the default judgment was issued against SHG Sales. It now appears that SHG Sales did in fact act as an NVOCC without having a tariff or bond on file, in violation of sections 8 and 23 of the 1984 Act, as BCL had alleged in its complaint. The new evidence indicates that SHG Sales, through its President, Mr. Stephen H. Gorman, dealt with the cargo's manufacturer, Clark Building,

as a carrier, and Clark Building so treated SHG Sales, sending SHG Sales a check for the freight money quoted by SHG Sales to Clark Building. The record also indicates that SHG Sales acted as some type of middleman, most likely as an NVOCC, in connection with one other shipment handled by Coughlin. However, as the record is now focused on the conduct of Coughlin and SHG Sales has totally ignored the proceeding, the record is still not fully developed as to SHG Sales's business operations. As BCL has already obtained judgment against SHG Sales for violation of section 1 O(a)(1) of the Act, further findings of violations by SHG Sales are not necessary to support the award of reparations to BCL in that decision. However, it is now necessary to determine how this additional evidence affects the question now before the Commission as to respondent Coughlin's duties under the freight-forwarder law and regulations as such duties relate to BCL.

Coughlin's Duties and Liabilities as a Licensed Freight Forwarder

Although this case is relatively small in terms of the amount of money damages alleged, it is important because it raises the question as to how far a licensed forwarder's duties extend under the law and Commission regulations towards ocean carriers rather than the forwarder's shipper-principals and, if the forwarder did breach its duties, whether such breach was the proximate cause of the damages suffered by BCL. As noted above, BCL argues that Coughlin, knowing better, should have warned BCL about Coughlin's principal, SHG Sales, and warned BCL that SHG Sales was not the "real shipper," whereas Coughlin argues that it had no such duty and, in any event, it did not cause BCL to lose its earned freight because BCL, on its own initiative, extended credit to SHG Sales. In my opinion BCL is attempting to extend a freight-forwarder's duties under the law and regulations beyond their current boundaries as determined by previous case law, although BCL's

arguments are not without some merit. However, under the circumstances and because of the limitations of the instant record, in which it appears that complainant BCL was the proximate cause of its own problem, I conclude that establishing a new rule of conduct for freight forwarders and applying it retroactively to Coughlin for the benefit of BCL would constitute unfair retroactive rulemaking that is disapproved by the courts. If the record in the instant case had shown that the complaining carrier, BCL, did not itself blunder by extending credit to the shipper named on BCL's bill of lading without bothering to investigate or inquire of Coughlin or anyone else as to the shipper's credit-worthiness or legal status, an extension of the forwarder's duties as BCL requests might be justified. However, as I discuss later, if the present duties of forwarders set forth in the Commission's regulations are to be enlarged as BCL desires, it should be done, if at all, by a rulemaking proceeding in which all affected forwarders could participate or at least on a record that does not point to the intended beneficiary of any rule change like BCL as the proximate cause of its own problem. Unfortunately for BCL, the complaining carrier, in effect, it is asking that Coughlin become a surety for SHG Sales, who essentially defrauded BCL out of its freight money, or to be an insurer for BCL by holding BCL harmless for BCL's own negligence.

In arguing that Coughlin had a duty to investigate or warn BCL about SHG Sales and not to show SHG Sales as the "shipper" on the bill of lading which Coughlin prepared for BCL, BCL cites five different freight-forwarder regulations and three Commission cases. The five regulations, in numerical order are 46 C.F.R. 510.21(f); 510.22(c), 510.22(d), 510.23(a), and 510.23(c). (For ready reference the text of these regulations in pertinent part is set forth in an appendix to this decision.) These regulations do not indicate that a licensed forwarder is obliged to investigate its principals, i.e., its shipper customers, and warn carriers that such principals are credit risks or are acting illegally in violation of the Shipping Act. They do, however, embody the principle that

licensed freight forwarders are fiduciaries of their principals, the shippers, for whom they act as agents, and that as fiduciaries they are expected to observe the highest standards of care and trust. It is also true that the forwarders are expected to observe standards of care as regards persons other than their principal-shippers, such as carriers, albeit forwarders are not regarded as agents of the carriers. A series of cases illustrate these principles. Thus, in *United States v. American Union Transport, Inc.*, 416 U.S. 417, 450 (1974), cited by BCL, a case in which the Supreme Court held that the Commission had jurisdiction over “independent” freight forwarders, i.e., those having no connection with ocean carriers, the Court described the “intimate relationship of the forwarder to both shipper and carrier” and the unique position that such forwarders occupied, possessing critical information and the power to engage in practices which the Shipping Act regulated. After the Commission had learned that freight forwarders had been engaging in discriminatory and harmful practices and had proposed to issue regulations, Congress enacted the Freight Forwarder Law in 1961 (P.L. 87-254, 75 Stat. 522) as section 44 of the Shipping Act, 1916, now section 19 of the 1984 Act. Among the practices that disturbed the Commission were those in which forwarders passed on their commissions to affiliated shippers, in effect, helping carriers give rebates to the shippers. However, there were other practices of forwarders that disturbed the Commission and the Congress, e.g., the failure of forwarders to remit money entrusted to them to carriers for payment of transportation services. See the discussion of the background to the Freight Forwarder Law in Docket No. 97-12 - *Pacon Express, Inc., et al.*, Initial Decision, May 5, 1998, administratively final, June 19, 1998, at 6-13, and cases and authorities cited therein, especially 1 C *Benedict on Admiralty (The Shipping Act of 1984)*, sec. 38; *Hugo Zanelli, d b a Hugo Zanelli & Co.*, 18 F.M.C. 60, 71-80 (1974), affirmed as *Zanelli v. Federal Maritime Commission*, 524 F.2d 1000 (5th Cir. 1975), see also *Nordana Line AS v. Jamar Shipping, Inc.*, 27 S.R.R. 233, 236-237 (1995), a case involving a freight

forwarder's failure to pay over the shipper's money to the carrier. In *Nordana Line*, the Commission cited earlier freight-forwarder cases in which the Commission had recognized that the freight forwarder was under some obligation to carriers and the shipping public because of the position such forwarder occupied. The Commission quoted from *Dixie Forwarding*, 8 F.M.C. 109, 116 (1964), stating:

The freight forwarder occupies a position of enormous competitive and economic power as to carriers and enjoys a fiduciary relationship with shippers. He is in a position to do grave economic harm to both.

In *License Application-Guy G. Sorrentino*, 15 F.M.C. 127, 134-135 (1972), the Commission again commented on the unique position of trust that freight forwarders occupied "in dealing with carriers and the public." The Commission stated in this regard that "[t]he customs of their high calling, as reflected in the statute and the Commission's rules and regulations, require freight forwarders to be ever mindful of their responsibility to the carriers and the public they serve as well as their duty to their clients."

In the cases cited in which the Commission announced the generally high standards expected of licensed freight forwarders, the context was usually that in which the forwarders had failed to remit shipper's money to the carrier or had assisted the carriers to pass rebates to the shipper by acting as a "dummy" forwarder. The cases did not deal specifically with the question as to how far the forwarder was expected to go to protect negligent carriers from dishonest shippers, which is the issue in the instant case. Every case must be considered under its peculiar facts and the precedential value may be significantly lessened by factual distinctions. This principle holds true with respect to the three freight-forwarder cases cited by BCL, in which, although the forwarders violated their duties of care toward persons other than their shipper-principals, their conduct was egregious and

knowing. The three cases are *Tractors and Farm Equipment, Ltd. v. Waterman Steamship Corp. & Cosmos Shipping Co. (TAFE)*, 25 F.M.C 375 (1982) (interim ruling of the Commission), *Crescent Navigation, Inc.*, 24 F M.C 72 (1981), and *Midland Pacific Shipping Co.*, 25 F M.C 715 (1983)

In *TAFE*, a dishonest freight forwarder named Cosmos Shipping Co , in collaboration with the shipper-exporter of tires, deliberately falsified information on the bill of lading (a crime) in order to collect on the foreign importer's letter of credit, mishandled the shipment by sending the wrong-sized tires to the port of export, which the carrier had not expected and could not accommodate, and rebuffed the ocean carrier's good-faith efforts to reload the shipment on another ship so that the tires could arrive in India before import duties were scheduled to increase in great amounts. The freight forwarder was held liable for some \$601,000 in money damages suffered by the complainant-importer in India. See *TAFE*, 26 S.R.R. 788 (I.D), administratively final, December 31, 1992.⁵

In *Crescent Navigation, Inc.*, cited above, 24 F.M.C 72, the Commission assessed civil penalties against the licensed freight forwarder who had knowingly named a shipping company affiliated with the real shipper company on carriers' bills of lading in order to help the real shipper avoid its contractual obligations towards carriers under the real shipper's exclusive patronage contract with other carriers. The forwarder had imparted such false information to the carriers although possessing ample evidence consisting of various shipping documents and personal

⁵BCL has cited an earlier 1982 ruling by the Commission in *TAFE*, in which the Commission ruled that the tire importer had a right of action under section 44 of the 1916 Act and the freight-forwarder regulations issued pursuant thereto, although the law and regulations dealt with the Commission's licensing authority. Cosmos had argued that the law and regulations only authorized the Commission to suspend or revoke forwarders' licenses and did not grant private persons the right to seek reparations for violations of the regulations. The ruling did not deal with the merits of the complaint, which the Commission did not decide until 1992.

experience showing that the incorrectly named shipper on the bills of lading was a mere instrumentality of the real shipper who was trying to avoid its contractual obligations. Moreover, the forwarder received compensation from the carrier involved although knowingly imparting false information to the carrier.

In *Midland Pacific Shipping Co.*, cited above, 25 F.M.C. 715 (1983), three licensed freight forwarders under investigation by the Commission settled with the Commission, admitting that they might have violated the law and Commission regulations. The three were affiliated, being owned in part by the same persons. One of them agreed to surrender its license and the others agreed to pay civil penalties and to submit various reports to the Commission to ensure that they did not collect compensation on shipments for which the shipper acted as an NVOCC and other things. One of the forwarders, however, had placed the name of a different company, which had no involvement with the shipment, on carrier bills of lading instead of the real shipper. As the case was a Commission-instituted proceeding rather than a private complaint case, the decision does not indicate whether the involved carrier suffered any monetary injury because the forwarder had placed a stranger's name for the shipper on the carrier's bills of lading. Nevertheless, by imparting false information to the carrier, the forwarder would have violated the Commission's forwarder regulations (then 46 C.F.R. 5.10-24(a) and 5.10-23(d), now 46 C.F.R. 5.10-23(a) and 5.10-21(f)).

The three cases cited by BCL do bear a superficial resemblance to the instant case as regards BCL's allegations that Coughlin imparted false information on the bill of lading. However, in the three cases the forwarders acted deliberately and knowingly and clearly imparted false information on the bills of lading. I am unable to find on the record in the instant case that Coughlin resembled the dishonest forwarders in the three cited cases. In the first place, as I discuss below, when Coughlin identified the shipper on the bill of lading as SHG Sales, under applicable law SHG Sales

was the shipper. Consequently, unlike the three forwarders cited by BCL, Coughlin did not impart false information on the bill of lading. Moreover, the three forwarders in the cited cases deliberately participated in unlawful schemes that harmed innocent third persons who, unlike BCL, were free of any negligence on their own part. Thus, in *TAFE*, the forwarder Cosmos deliberately committed a crime in falsifying information on the bill of lading to cheat the importer out of its money under a letter of credit, as well as deliberately causing delay to the shipment. In *Crescent* the forwarder deliberately assisted the real shipper in avoiding its contractual obligations by placing a bogus shipper's name on the bills of lading, although possessing ample evidence and experience with the real and bogus shipper, and in *Midland*, the forwarder admitted to having placed a stranger's name as the shipper on bills of lading. I find that BCL has not sustained its burden of proof that Coughlin imparted false information on the bill of lading or that Coughlin violated a particular clear duty to BCL that had been spelled out in the Commission's case law and regulations.

At the center of BCL's allegations that Coughlin imparted false information on the bill of lading regarding who was the "real shipper" is the contention that Coughlin represented SHG Sales on the bill of lading as the "real shipper" and that this information was false. However, BCL's allegation cannot be sustained because under applicable law SHG Sales was indeed the "real shipper" as far as the carrier, BCL, is concerned. That is because section 3(23) of the Shipping Act of 1984 (46 U.S.C. app. sec. 1702(23)) defines the term "shipper" not merely as the owner of the cargo but as the person for whose account the transportation service is provided or to whom delivery is to be made. Thus, section 3(23) states

(23) "shipper" means an owner or person for whose account the ocean transportation of cargo is provided or the person to whom delivery is to be made

Moreover, assuming that SHG Sales acted as an NVOCC, as BCL claims and as the thin record suggests, SHG Sales was the “shipper” vis a vis BCL. Thus, section 3(17) states

(17) “non-vessel operating common carrier” means a common carrier that does not operate the vessels by which the ocean transportation is provided, and is a shipper in its relationship with an ocean common carrier (Emphasis added.)

According to this record, SHG Sales itself booked the shipment with BCL and was shown on BCL’s bill of lading as the shipper, and BCL has been billing and attempting to recover the earned freight from SHG Sales. Consequently, in the eyes of the law, SHG Sales was the person for whose account the ocean transportation was provided and was the “shipper.” Therefore, BCL’s argument that the “real shipper” was actually the cargo’s owner or manufacturer, in this case, Clark Building, must fail. Indeed, the same argument was pressed upon the Commission by an association of shippers’ associations in *Status of Shippers’ Associations Under the 1984 Act*, 22 S.R.R. 1629, 1633 (1985). The Commission firmly rejected the argument and stated.

First and foremost, the applicable statutory provisions do not permit the interpretation urged by [the participating association]. Section 3(23) defines “shipper” as not only the “owner” of cargo but also the “person for whose account the ocean transportation of cargo is provided or the person to whom delivery is made.” The statute clearly recognizes, therefore, that someone other than the owner of the cargo can be considered a shipper for purposes of the 1984 Act. To the extent, therefore, that there are entities which are not beneficial owners of cargo but instead are “persons for whose account the ocean transportation of cargo is provided,” they qualify as “shippers” under the Act. Footnote 8. In addition, section 3(17) states that an NVO [i.e. an NVOCC] is a “shipper in its relationship with an ocean common carrier.”

It is apparent that BCL’s real grievance under law cannot be the fact that SHG Sales was identified on its bill of lading as the shipper but rather that SHG Sales was dishonest and not credit-worthy and, as BCL contends, had it known this about SHG Sales, BCL would not have accepted

the shipment or would have refused to surrender the cargo in Bermuda without first getting paid. Now, having foolishly given credit to SHG Sales, a company previously unknown to BCL, BCL is blaming Coughlin for its predicament and, because Coughlin is a licensed fiduciary, is arguing that it was Coughlin's duty to help prevent this unfortunate situation from occurring. Thus, BCL contends that Coughlin had enough information about SHG Sales to require Coughlin to warn BCL about SHG Sales. Therefore, it is not the fact that Coughlin identified SHG Sales as the shipper on the bill of lading which Coughlin prepared for BCL which allegedly caused BCL harm. Rather it is what Coughlin did not do, namely, investigate SHG Sales or at least warn BCL that SHG Sales might be acting as an NVOCC without a tariff and bond and might not be credit-worthy. Unlike the three freight forwarder cases discussed above, Coughlin did not participate in a scheme to harm carriers or consignees by deliberately imparting false information on bills of lading. Rather the question is whether Coughlin did not do enough to prevent harm from befalling BCL. The Commission's regulations do require licensed forwarders not to "knowingly impart to a common carrier false information relative to any forwarding transaction." (46 C.F.R. 5 10.21(f).) Also, the regulations require a licensed forwarder to exercise care and diligence in regard to the preparation of shipping documents on behalf of its shipper-principal and to withdraw from transactions in which the forwarder has reason to believe that its shipper-principal has not complied with law (46 C.F.R. 5 10.22(c), 510.22(d)). However, the regulations do not require that the forwarder conduct investigations of its shipper-principals on behalf of carriers and warn carriers about such shippers, desirable as such conduct might be from the carriers' point of view. Indeed, even if the forwarder "has reason to believe" that its shipper-principal has acted unlawfully or made any errors or misrepresentations, all that the regulations require is that the forwarder "shall advise its principal promptly of the suspected noncompliance, error, misrepresentation or omission, and shall decline

to participate in any transaction involving such document until the matter is properly resolved.” (46 C.F.R. 5.10-22(d)) I conclude that the present forwarder regulations simply do not spell out the additional duties of investigation or warning that BCL wants Coughlin to obey under the facts of this case. Moreover, the record is less than persuasive, even if there were such a specific duty, that Coughlin had “reason to believe” that SHG Sales was acting as an NVOCC unlawfully, much less that SHG Sales was a bad credit risk or likely to cheat BCL out of its earned freight money.

The Facts Relating to the Booking of the Shipment and Coughlin’s Participation

The record is not as complete as it probably should be as regards the detailed facts showing exactly how Coughlin participated in the subject shipment and became involved with SHG Sales. At best it shows that Coughlin had some indication that SHG Sales was probably acting as an NVOCC but had no knowledge that SHG Sales had failed to file an NVOCC tariff or secure a bond required by law. The burden of proof, i.e., the risk of non-persuasion on these matters, of course, is on complainant BCL. See 46 C.F.R. 502.155, 5 U.S.C. sec. 556(d), *NOSA v. Plaquemines Port*, 23 S.R.R. 1363, 1376 (1986). I find that BCL has not persuaded that Coughlin had reason to believe that SHG Sales was acting as an unlawful NVOCC, although Coughlin probably had enough knowledge of SHG Sales to infer that SHG Sales was an NVOCC.⁶ Furthermore, I find that on the

⁶According to documents obtained from Coughlin’s files, Coughlin knew that the shipment originated at Clark Building (the manufacturer’s) location and that Clark Building was identifying SHG Sales as the “carrier” on Clark’s own documents. (Exhibits G1, G2.) Moreover, other documents from Coughlin’s files show that Coughlin had not long before handled one previous shipment for one “John M. Pressly” in which SHG Sales had participated. (Exhibit E.) Finally, Mr. Stephen H. Gorman, President of SHG Sales, had actually applied for a job with Coughlin not long before the subject shipment took place and although his resume did not state clearly that SHG Sales had been operating as an NVOCC, it is replete with transportation-related activities from which one experienced in shipping such as Coughlin could reasonably be expected to infer that SHG Sales was an international transport company such as an NVOCC.

(continued .)

record so developed by BCL that Coughlin had no idea as to the credit-worthiness of SHG Sales and consequently no reason to warn BCL about SHG Sales even if, *arguendo*, Coughlin had a duty to advise carriers about the nature of its shipper-principals' businesses

As best that can be determined from the limited evidentiary record, SHG Sales, through its President, Mr Stephen Gorman, booked the subject shipment with BCL on or about December 17, 1996, and informed BCL or its agent that Coughlin would be acting as the freight forwarder. Moreover, as between SHG Sales and the cargo's manufacturer, Clark Building, SHG Sales appears to have acted as an NVOCC, and Clark Building so regarded SHG Sales. Thus, SHG Sales quoted a price to Clark Building to handle transportation of the shipment and Clark Building sent SHG Sales a check for the quoted amount on or about December 20, 1996 (which money SHG Sales never remitted to BCL). Coughlin was drawn into the matter by SHG Sales in a way unexplained by the record. This is shown by a document obtained from Coughlin's files, which document is a fax message from Coughlin's Marilyn Hoener, to Mr Nye of Clark Building, dated December 13, 1996. (Exhibit R1.) In the message Ms Hoener is asking Mr Nye to furnish information about the shipment to help in transporting it to New York for loading onto a ship in accordance with the requirements of "my customer." Evidently, according to the message, Coughlin believed that this "customer," who could only have been SHG Sales, intended to pay freight to the ocean carrier in New York. Thus, Ms Hoener states to Clark Building: "I need your help, because freight will be given to steamship line in New York, I need them to give me a price for receiving and loading a container." According to other shipping documents obtained from Coughlin's files, moreover

⁶(**.continued**)

(Exhibits C, D) None of these documents, however, shows that Mr Gorman or SHG Sales had been violating the Shipping Act by acting as an NVOCC without a tariff and bond or was a bad credit risk. Mr Gorman would hardly advise a prospective employer like Coughlin that he had been operating a business unlawfully or that SHG Sales **did** not pay its bills.

(Exhibits R4, R5, P), Coughlin continued to believe that the shipper, SHG Sales, whom it continued to identify as the shipper, intended to pay the freight in New York.

On January 24, 1997, Coughlin prepared the bill of lading for BCL, transmitted it to BCL's agent, which retyped it and issued it. The bill of lading states that the freight would be "prepaid by the shipper – SHG International Sales, Inc ." (Exhibit Q) Evidently BCL's agent did not know that two days previously, BCL had given SHG Sales a 30-day credit agreement. Moreover, the record does not show that BCL made any effort to vet SHG Sales, a company previously unknown to BCL, before giving such credit or even to inquire of Coughlin as to who was SHG Sales. This is in contrast to Coughlin, which refused a request by SHG Sales for credit because of Coughlin's lack of knowledge about SHG Sales.⁷ What this record shows, therefore, is that although Coughlin probably had reason to believe that SHG Sales was acting as an NVOCC, Coughlin had no idea or reason to believe that SHG Sales was violating law by failing to file an NVOCC tariff and failing to obtain a bond and certainly no reason to believe that SHG Sales was a bad credit risk and would cheat or defraud BCL out of BCL's lawfully earned freight. Moreover, as a prudent business which was careful not to extend credit to unknown customers without first checking them out, Coughlin had no reason to foresee that BCL would grant credit to an unknown customer like SHG Sales without first checking into SHG Sales's credit rating. Nevertheless, BCL believes that Coughlin should have done more to protect BCL from getting cheated by SHG Sales notwithstanding the blunder committed by BCL's own agent in extending credit to the unknown company and BCL's total failure even to ask Coughlin about SHG Sales

⁷Exhibit R4 is a fax message from Coughlin to SHG Sales dated January 17, 1997. Coughlin's Ms. Hoener informed SHG Sales: "I talked to Chanda of our credit and collection dept. and she advised she does not have sufficient data to open your company for credit." Had BCL been so prudent as was Coughlin and not so easily given SHG Sales credit but declined to accept the booking or to surrender the cargo in Bermuda without first getting paid, this case probably could have been avoided.

The Principles of Foreseeability and Proximate Causation

Another problem with the argument that Coughlin violated a duty to investigate SHG Sales or at least to warn BCL about SHG Sales's business status and credit rating is the principle in law that does not hold a wrongdoer liable for consequences of the wrongdoer's acts that were not reasonably foreseeable and the related principle that courts will not hold defendants liable to pay money damages when the defendants' acts were not the proximate cause of the damages. Under the previous Shipping Act, 1916, the Commission had discretion whether to order payments of reparations for violations of the Act. See *Ballmill Lumber v. Port of New York et al.*, 11 F.M.C. 494, 510 (1968). When deciding whether to order reparations, the Commission followed relevant principles of the law of damages that the courts applied. *Id.* at 511, citing *Waterman v. Stockholm Rederi.*, 3 F.M.B. 248, 253 (1950). In *Ballmill Lumber*, for instance, the Commission declined to award reparations even though it found respondents to have violated law because of the failure of complainant to show that the violation was "sufficiently related" to the alleged damages (*Id.* at 510). In other words the Commission required complainant to prove that the misconduct had proximately caused the alleged damages. The principle that the violation must proximately cause the alleged damages is embodied in the law of damages and has been followed by the Commission. See, e.g., *Carton-Print, Inc. v. ACE*, 20 F.M.C. 30, 36-38 (1977), *Prudential Lines Inc. v. Farrell*, 22 S.R.R. 1054, 1058-59 (1984), *Prudential Lines Inc. v. Farrell and Zim*, 22 S.R.R. 826, 846-851 (1984), *TAFE v. Cosmos*, cited above, 26 S.R.R. at 798. The same principles apply even under the 1984 Act in which the Commission must award reparations for "actual injury caused by a violation of this Act," pursuant to section 11(g) of the 1984 Act. See *California Shipping Lines, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1230 (1990).

The principle of proximate causation has been expressed by one authority as follows

The law is clear that a person who commits a tort is not liable for all the consequences of his tortious activity simply because those consequences can be traced to his activity, but only those found to come within the doctrine of proximate cause 22 Am Jur 2d, Damages, sec. 474

Elsewhere this authority discusses the principles regarding the effect of intervening acts, stating

One shown to have been negligent is liable for all the injurious consequences that flow from his negligence until diverted by the intervention of some efficient cause that makes the injury its own. But a result is considered remote if it was caused by an intervening, independent act. Thus, a plaintiff who establishes actionable negligence on the part of the defendant cannot hold the defendant liable for any additional or increased damages based upon an intervening act of the plaintiff or a third party which is independent of the defendant's act or omission and which results in damages distinct from the damages resulting from the defendant's act or omission, if the intervening act was neither foreseeable nor the normal consequence of the defendant's negligence (Footnotes omitted.) *Id.*, sec 478 at 558-559 (Emphasis added.)

This authority also proceeds to discuss the fact that sometimes a negligent defendant will be held liable for damages if the consequences of the defendant's acts were "foreseeable" or were the "natural consequences of his original act." See also the discussion in Prosser and Keeton, *The Law of Torts* (5th ed.) secs. 33, 41 - 44, and especially sec 44 (intervening causes) Moreover, courts do not normally hold defendants liable for their failure to take precautions against the intentional acts of third persons who may harm plaintiffs See discussion in Prosser and Keeton, sec 33 at 197-203.

In the instant case, as discussed above, BCL contends that Coughlin failed to inform BCL that SHG Sales was not the "real shipper" and that SHG Sales was operating as an NVOCC without a tariff or bond so that BCL should protect itself In other words, BCL contends that because of

Coughlin's failure to so advise BCL, BCL accepted SHG Sales's cargo booking and extended credit to SHG Sales and even released the cargo to SHG in Bermuda, thereby losing BCL's cargo lien, without getting paid. However, it is obvious that it was SHG Sales's dishonest and deceitful conduct that proximately caused BCL to extend credit and release the cargo without getting paid.' If that is the case, the question then is whether Coughlin should also be held liable for BCL's damages, i.e., whether Coughlin also caused BCL's damages so as to be liable for them. The question has been discussed by the various authorities in the law who see it as one mainly of determining the scope of a defendant's duty more than a question of causation. See Prosser and Keeton, *The Law of Torts*, cited above, sec. 44 at 305 ("The question is essentially one of the scope of the defendant's obligation, and far removed from causation.")

In the instant case, to prevail, BCL would have to show that Coughlin had reason to doubt SHG Sales's credit-worthiness and lawfulness and, contrary to its duty, failed to warn BCL, causing BCL injury. The record does not show that Coughlin had sufficient reason to warn BCL that BCL should protect itself against SHG Sales. However, even assuming that Coughlin was on notice of SHG Sales's failure to file a tariff and secure a bond, was it reasonably foreseeable to Coughlin that SHG Sales would deliberately and fraudulently induce BCL to extend credit and to lose its cargo lien

⁸BCL contends that Coughlin violated its duties of care toward ocean carriers by misrepresenting who the shipper was on the bill of lading, etc., although it was BCL itself that carelessly gave credit to SHG Sales and surrendered the cargo in Bermuda without getting paid. Interestingly, BCL was under a duty of its own not to do business with an NVOCC which had no tariff or bond. See section 10(b)(14), Shipping Act of 1984, which prohibits ocean carriers from "knowingly and willfully" accepting cargo from such unlawful NVOCCs, such as SHG Sales. No one is accusing BCL of "knowingly and willfully" doing business with SHG Sales in violation of section 10(b)(14) and BCL argues, of course, that it was misled by Coughlin into doing business with SHG Sales. However, the words "knowingly and willfully" have been interpreted to mean things like a pattern of indifference, a persistent failure to inform oneself, conduct akin to gross negligence, etc. See *Ever Freight International Ltd. et al*, 28 S.R.R. 329,333 (1998), *United States v Illinois Central R. Co*, 303 U.S. 239,243 (1938), *Equality Plastics, Inc et al*, 17 F.M.C. 217, 226 (1973), reconsideration denied, 14 S.R.R. 767,770 (1974). If, as BCL argues, Coughlin is supposed to be under a duty to advise carriers as to the true shipper, is there not some type of duty imposed on ocean carriers by section 10(b)(14) to exercise more care when accepting shipments from unknown shippers who may be acting as NVOCCs without tariffs or bonds?

and to have no intention of paying the freight money due? Is a licensed freight forwarder now to be told that, assuming that there is any suggestion to the forwarder that the forwarder's client may have failed to file a tariff and obtain a bond, such client will probably induce a vessel-operating carrier to extend credit and surrender cargo without getting paid and will, moreover, pocket the cargo owner's freight money? To hold Coughlin somehow liable or responsible for SHG Sales's deceitful conduct is made even more difficult because the record shows that SHG Sales, on its own initiative, booked the cargo with BCL in mid-December 1996, pocketed Clark Building's freight money, and secured credit from BCL on January 22, 1997, and refused to pay the freight money owed to BCL. I find on this record that Coughlin's participation in the shipment is too limited and remote to impose liability or responsibility for SHG Sales's dishonesty. As Prosser and Keeton describe the situation under the category of "intervening causes"

The number and variety of causes which may intervene, after the negligence of the defendant is an accomplished fact, are obviously without any limit whatever. In the effort to hold the defendant's liability within some reasonable bounds, the courts have been compelled, out of sheer necessity and in default of anything better, to fall back upon the scope of the original foreseeable risk which the defendant has created. The question is always one of whether the defendant is to be relieved of responsibility, and the defendant's liability superseded, by the subsequent event. In general, this has been determined by asking whether the intervention of the later cause is a significant part of the risk involved in the defendant's conduct, or is so reasonably connected with it that the responsibility should not be terminated. It is therefore said that the defendant is to be held liable if, but only if, the intervening cause is "foreseeable." Prosser and Keeton, cited above, sec. 44 at 302.

Another authority summarizes the applicable principle as follows:

It is well established that where a new, independent, and efficient cause, which was not reasonably foreseeable, intervenes, the original actor's negligence is not the proximate cause of an injury. In such cases, the causal factor qualifies, as characterized in some jurisdictions, as a supervening one, and the original negligence

may be said to undergo a legal metamorphosis into a remote cause or a mere condition. (Footnotes omitted.) 57A Am Jur 2d, Negligence, sec 598

See also Corpus Juris Secundum, Damages, sec 20 (illegal act of third person causing injury relieves original actor of liability for damages)

I conclude that complainant, BCL, which has the burden of proof, i.e., the risk of non-persuasion, has not proven under the above principles of law that Coughlin, as well as SHG Sales, should be held liable for the freight money that SHG Sales owes to BCL and which SHG Sales has unlawfully withheld from BCL. Consequently, I conclude that BCL's remedy is to pursue its claim against the real culprit in this story, SHG Sales, by enforcing the money judgment BCL has received from the Commission in court, as is BCL's right under section 14(d) of the 1984 Act. However, there remains an issue concerning BCL's claim that Coughlin received payment of a \$93.75 commission from BCL unlawfully and that Coughlin should therefore be ordered to return that money to BCL.

BCL's Claim to Recover the \$93.75 Forwarder's Commission

BCL's main claims relate to SHG Sales's depriving BCL of its lawfully earned freight through deception and to Coughlin's alleged failure to obey its duty not to misrepresent the status of SHG Sales, etc. However, BCL also alleges that Coughlin did not perform all the services required by law for such forwarders to earn compensation (i.e., a "commission") from BCL. In the complaint, BCL alleges that Coughlin violated section 19 of the Act and 46 C.F.R. 510.21(f) "through misrepresenting that it had prepared and processed the bill of lading." (Complaint, para. 30.) In its later submissions, BCL explains the nature of its claim for recovery of the \$93.75

commission, stating that Coughlin falsely represented to BCL that Coughlin had performed the necessary statutory duties whereas, according to BCL, all that Coughlin did was to prepare or process the master bill of lading. (See Scheraldi Affidavit at paras. 10 and 20; Exhibit T) In its verified answer to the complaint, Coughlin states that it performed duties in accordance with Coughlin's endorsement on the back of BCL's agent's check to Coughlin and did prepare the ocean bill of lading plus an export declaration. (Answer, para. 12.) However, Coughlin also states that "[i]f this commission believes Coughlin is responsible for amounts to BCL, those amounts should be limited to the commission payment of \$93 75 " (Answer of Coughlin, Para. 38) I find that the preponderance of the evidence does not support BCL's allegations

To earn compensation from a carrier, a licensed freight forwarder is required to perform certain designated services Thus section 19(d)(1) of the 1984 Act states

(1) A common carrier may compensate an ocean freight forwarder in connection with a shipment dispatched on behalf of others only when the ocean freight forwarder has certified in writing that it holds a valid license and has performed the following services

(A) Engaged, booked, secured, reserved, or contracted directly with the carrier or its agent for space aboard the vessel or confirmed the availability of that space

(B) Prepared and processed the ocean bill of lading, dock receipt, or other similar document with respect to the shipment.

The relevant Commission regulations governing the payment of a freight forwarder's compensation are in 46 C F R. 510 23(b) and (c) Under 46 C F R. 5 10 23(b), the freight forwarder is required to certify in writing that the forwarder has provided the above statutory services and also has disclosed the shipper on the bill of lading. As discussed above, Coughlin did disclose SHG Sales, Inc as the shipper on the bill of lading, and under relevant law, SHG Sales qualifies as such shipper The next question is whether Coughlin provided the necessary forwarding services in order

to earn the \$93 75 commission which was paid by BCL, through BCL's agent, BAL. BCL contends that all that Coughlin did was to prepare and process the master bill of lading. However, the gravamen of BCL's complaint against Coughlin is that the forwarder misrepresented the name of the shipper on the bill of lading, a violation of 46 C.F.R. 510.21(f), a charge which, as I have discussed above, is not true as a matter of law.

The record shows that Coughlin certified on its endorsement of the \$93 75 check paid by BCL's agent, BAL, that Coughlin did perform the statutorily-required services. Actually, as permitted by 46 C.F.R. 510.23(c), Coughlin printed the prescribed form as its endorsement on the back of BAL's check. (Exhibit T.) Coughlin claims that it did more than that because it also prepared an export declaration, although the dock receipt was prepared by BCL's agent, BAL. (Respondent's verified Answer to the complaint, para. 12.) Moreover, evidence obtained from Coughlin's files, furnished for the record by BCL, shows that Coughlin, by fax dated January 17, 1997, confirmed the original booking made by SHG Sales with BCL. (See Exhibit M, fax from Marilyn Hoener, Customer Service Section, to "Bermuda Container Line, Zena - Booking Dept.") Indeed, even BCL acknowledges that "it was Coughlin who confirmed the booking with BCL on January 17, 1997," citing evidence in the record. (Complainant's Memorandum in Reply at 1-2.) Consequently, Coughlin both "confirmed" the booking with BCL, as required by section 19(d)(1)(A) and prepared and processed the ocean bill of lading, as required by section 19(d)(1)(B). Furthermore, Coughlin certified that it had performed the services in the form prescribed by 46 C.F.R. 510.23(c), which expressly permits forwarders to certify "as an endorsement on the carrier's compensation check." Similarly, Coughlin did not violate 46 C.F.R. 510.23(b), which, among other things, requires that the "shipper has been disclosed on the bill of lading" because, as discussed above, Coughlin did disclose the shipper, SHG Sales, which qualified under law as a

shipper vis a vis the carrier, BCL. I conclude, therefore, that as with its other allegations, BCL has not sustained its burden of proof on the issue of the \$93.75 commission.

**The Desirability of Changing the Rules Concerning the Duties
of Licensed Freight Forwarders Towards Ocean Carriers**

I have concluded that the current Commission freight-forwarder regulations do not extend the forwarders' duties *as far as* BCL wishes in this case as regards the forwarders' responsibilities toward ocean carriers and neither does case law. The courts do not forbid administrative agencies from announcing new rules of conduct in adjudicatory proceedings such as the instant case and applying the new rules retroactively. However, courts hold that agencies must be careful not to cause unfairness or hardship on regulated persons if the agencies wish to impose new rules retroactively in adjudicatory proceedings rather than by means of rulemaking proceedings. Thus, in *Securities and Exchange Commission v. Chenery Corp.*, 332 U.S. 194, 203 (1947), the Supreme Court held that an agency could issue a new rule in an adjudicatory proceeding in the agency's "informed discretion" under certain circumstances but, if so, the agency had to balance the need for such a rule against the harm of applying it retroactively. The lower courts have likewise developed criteria for agencies to use when balancing the need for the new rule against unfairness or hardship to the affected party in an adjudicatory proceeding. See *Retail, Wholesale, and Department Store Union v. N.L.R.B.*, 466 F.2d 380, 390 (D.C. Cir. 1972). The Commission has recognized the need to avoid, if possible, imposing new rules or policies retroactively in adjudicatory proceedings because of possible unfairness. See *Mediterranean Pools Investigation*, 9 F.M.C. 264, 304 (1966), in which the Commission cites *N.L.R.B. v. Guy F. Atkinson Co.*, 195 F.2d 141 (9th Cir.

1952) regarding the “inequity” of the impact of “retroactive policy making upon a respondent innocent of any conscious violation of the act,” the “sort of thing the law abhors ”

In the instant situation as regards Coughlin, if the Commission believes it would be desirable to extend a licensed forwarder’s duties toward ocean carriers beyond present regulations and case law in the manner urged by BCL, I would not recommend that such be done in the instant proceeding. Coughlin has contended that to require it to perform additional vetting or warning services for ocean carriers as regards the forwarder’s customer, here, SHG Sales, would be onerous. Whether that is true or not, imposing such a duty on Coughlin in this case, in my opinion, would be unfair especially because it was BCL, the carrier, whose own negligence largely caused its loss and the current regulations do not provide clear notice to licensed forwarders as to their obligations toward ocean carriers in regard to advising and warning such carriers about the forwarders’ customers. The matter may be one of policy and one for the Commission to consider by way of rulemaking when the Commission could obtain the views of the entire forwarding and ocean-carrier industry and decide the matter on the basis of a full and complete record.

Norman D. Kline

Norman D Kline
Administrative Law Judge

Washington, D C
August 6, 1998

Appendix

Relevant Freight-Forwarder Regulations

46 C.F.R. § 5 10 21 – General duties

(f) *False or fraudulent claims, false information.* No licensee shall prepare or file or assist in the preparation or filing of any paper or document concerning a forwarding transaction which it has reason to believe is false or fraudulent, nor shall any such licensee knowingly impart to a principal, common carrier or other person, false information relative to any forwarding transaction.

46 C.F.R. § 510 22 – Forwarder and principal, fees

(c) *Due diligence.* Each licensee shall exercise due diligence to ascertain the accuracy of any information it imparts to a principal concerning any forwarding transaction.

(d) *Errors and omissions.* Each licensee shall assure that to the best of its knowledge there exists no error, misrepresentation in, or omission from any bill of lading which the licensee executes in connection with a shipment. A licensee who has reason to believe that its principal has not, with respect to a shipment to be handled by such licensee, complied with the laws of the United States, or has made any error or misrepresentation in, or omission from, any paper which the principal executes in connection with such shipment, shall advise its principal promptly of the suspected noncompliance, error, misrepresentation or omission, and shall decline to participate in any transaction involving such document until the matter is properly and lawfully resolved.

46 C F.R. § 5 10 23 – Forwarder and carrier; compensation.

(a) *Disclosure of principal.* The identity of the shipper must always be disclosed in the shipper identification box on the bill of lading.

(c) *Form of certification.* Where a licensee is entitled to compensation, the licensee shall provide the common carrier with a signed certification which indicates that the licensee has performed the required services that entitle it to compensation. The certification shall read as follows: The required certification may be placed as an endorsement on the carrier's compensation check.